EQUITY RESEARCH REPORT

Vedanta Limited

NSE: VEDL | BSE: 500295 | ISIN: INE205A01025

Sector: Metals, Mining & Natural Resources | May 2026

CMP (₹)	52W High	52W Low	Mkt Cap	Rating	Target (₹)
₹305	₹795	₹269	~₹1.20L Cr	**BUY**	**₹450**

FY26 P/E	P/B	EV/EBITDA	Div Yield	Promoter%	FII%	DII%
~5-8x	~4.1x	~6.0x	~3-5%	56.4%	13.9%	13.5%

Bear Case	Base Case	Bull Case	DCF Value
₹250-270	**₹380-420**	**₹520-600**	**₹430-480**

NOTE: Vedanta Ltd executed its long-awaited demerger effective May 1, 2026, splitting into multiple focused entities. The current CMP of ₹305 reflects post-demerger price discovery. Pre-demerger 52-week high was ₹795. The stock is in a price discovery phase with RSI at 21.56 (deeply oversold) — representing a compelling accumulation opportunity for patient investors.

Prepared by: Equity Research Desk | Date: May 2026 | Data Sources: BSE/NSE, Company Filings, Screener.in, Bloomberg

1. Company Overview

Vedanta Limited is India's largest diversified natural resources company, engaged in exploring, extracting, and processing minerals, oil & gas, and metals. Its operations span zinc-lead-silver, copper, aluminium, iron ore, oil & gas, power, and steel, making it one of the most vertically integrated commodity conglomerates in Asia. With a global footprint across India, South Africa, Namibia, and Ireland, Vedanta supplies critical raw materials to the infrastructure, energy, automotive, aerospace, and packaging industries.

Vedanta is promoted by Vedanta Resources Ltd (VRL), a UK-based holding company controlled by billionaire industrialist Anil Agarwal. The Group has consistently deployed a high-dividend strategy, returning substantial capital to shareholders even through commodity downturns.

Revenue Segments (FY26)

Segment	Revenue Share	Key Assets	Key Metric
Aluminium	~38%	Lanjigarh, BALCO	2.4 MnT smelter capacity
Zinc-Lead-Silver	~25%	Hindustan Zinc	#1 integrated zinc producer globally
Oil & Gas	~15%	Rajasthan Block	~160 kbpd current production
Iron Ore	~8%	Goa, Karnataka	Iron ore + pig iron sales
Power	~7%	TSPL, Jharsuguda	4.2 GW capacity
Steel & Others	~7%	ESL Steel, Ports	4 MTPA steel capacity

Competitive Moat

- India's #1 primary aluminium producer with 46% domestic market share
- Hindustan Zinc — world's #1 integrated zinc-lead-silver producer outside China
- Largest private sector oil & gas producer in India (Rajasthan Block)
- Vertically integrated from bauxite mining to aluminium products — cost leadership
- Largest captive power infrastructure among Indian metal companies — shields margins
- Scale economies: Combined FY26 revenue of ₹1.74 lakh Cr — hard to replicate
- Anil Agarwal's track record: built empire from scrap cable dealer to global mining giant

2. Financial Analysis — Last 5 Years (FY22–FY26)

Vedanta has demonstrated strong revenue growth driven by commodity upcycles, operational efficiency, and capacity expansions. The FY26 year marks the company's best-ever performance across multiple metrics, with record revenues and EBITDA even as the business navigated a complex demerger process.

2.1 Income Statement Trends

Metric	FY21	FY22	FY23	FY24	FY25	FY26
Revenue (₹ Cr)	91,908	1,22,021	1,46,949	1,36,985	1,50,725	**1,74,075**
Revenue Growth	—	**+33%**	**+20%**	**-7%**	**+10%**	**+15%**
EBITDA (₹ Cr)	22,000*	37,500*	34,200*	31,818	43,541	**55,976**
EBITDA Margin	23.9%	30.7%	23.3%	23.2%	28.9%	**32.2%**
Net Profit (₹ Cr)	6,488*	13,943*	9,071*	7,539	20,535	**25,096**
Net Profit Margin	7.1%	11.4%	6.2%	5.5%	13.6%	**14.4%**
EPS (₹/share)*	~16.5*	~35.5*	~23.1*	~19.2	~52.3	**~63.9**

**FY21-FY23 figures are approximate estimates; EPS based on ~393 Cr shares attributable basis. Post-demerger EPS structure will differ.*

2.2 Returns & Leverage Metrics

Metric	FY22	FY23	FY24	FY25	FY26
ROE (%)	~45%*	~20%*	~18%	~38%	**~42%**
ROCE (%)	~28%*	~16%*	~14%	~22%	**~26%**
Debt-to-Equity	~2.5x*	~2.3x*	~2.2x	~2.1x	~2.1x
Net Debt (₹ Cr)	~55,000*	~57,000*	~59,000	~56,000	**~53,400**
Net Debt/EBITDA	~1.5x*	~1.7x*	~1.8x	~1.3x	**0.95x**
Interest Coverage	~3.5x*	~3.0x*	~2.8x	~3.2x	**~4.0x**
Free Cash Flow (₹ Cr)	~12,000*	~10,500*	~9,200	~18,000	**~24,000***

**Approximate estimates. ROE/ROCE computed on attributable equity/capital basis.*

2.3 Key Financial Observations

- FY26 marks the strongest year ever for Vedanta — record revenue (₹1.74 lakh Cr), EBITDA (₹55,976 Cr, +29% YoY), and PAT (₹25,096 Cr, +22% YoY).
- EBITDA margin expansion from 23.2% (FY24) to 32.2% (FY26) reflects structural cost improvements, particularly in aluminium (lower input coal costs, Lanjigarh expansion), and zinc (higher grades, operating leverage).
- Net Debt/EBITDA improved sharply to 0.95x in Q4 FY26 vs 1.22x in Q4 FY25 — signalling deleveraging trajectory and improving financial health.
- High D/E of ~2.1x remains a structural concern. However, EBITDA growth is outpacing debt, reducing leverage risk.
- ROE of ~42% in FY26 is high but inflated by leverage — ROCE of ~26% is more representative of underlying business quality.
- FCF generation has improved significantly on back of EBITDA growth and controlled capex — enabling continued strong dividend payouts.
- No major accounting red flags observed in recent years. Vedanta has maintained consistent dividend payments even in challenging years, suggesting genuine cash generation. Audit quality and related-party transactions (with Vedanta Resources) warrant ongoing monitoring.

3. Quarterly Performance Analysis

3.1 Recent Quarterly Trends

Quarter	Revenue (₹Cr)	EBITDA (₹Cr)	EBITDA Mgn	PAT (₹Cr)	QoQ PAT	YoY PAT
Q1 FY25	35,239	~9,800	~27.8%	3,606	—	**+36.6%**
Q2 FY25	~36,500	~10,200	~27.9%	~4,000	**+10.9%**	**Record**
Q3 FY25	~33,000	11,284	**34.0%**	4,876	**+9.0%**	**+70.0%**
Q4 FY25	38,526	11,618	**35.0%**	4,961	**+1.7%**	**+118%**
Q1 FY26	38,809	~12,500*	~32%*	3,185	**-35.8%**	+5.75%*

**Q1 FY26 PAT decline QoQ likely due to exceptional items, demerger costs, and seasonal factors. Revenue grew +5.75% YoY. Full FY26 annual PAT = ₹25,096 Cr (+22% YoY).*

3.2 Management Commentary & Key Concall Insights

- FY25 was described as a year of exceptional achievement — highest-ever annual volumes for Aluminium and Zinc simultaneously.
- Aluminium cost of production declined significantly YoY, driven by lower thermal coal costs and improved operational efficiency at Jharsuguda smelter.
- Hindustan Zinc delivered record production in FY25; mine development on track for volume ramp toward 1.2 MTPA.
- Oil & Gas: Rajasthan block production steady; Enhanced Oil Recovery projects ongoing with plans to scale to 500 kbpd long-term.
- Demerger (effective May 1, 2026): Creates focused, sector-specific listed entities — Aluminium, Zinc, Oil & Gas, Power, Steel, and Base Metals India — unlocking segment-specific valuations.
- FY27 guidance: EBITDA trajectory toward $8-10 billion over medium term from $6.7B in FY26 — an ~18% CAGR growth roadmap.
- Dividend: Anil Agarwal stated 'Dividend is in my blood' — the company remains committed to aggressive dividend distributions.

4. Valuation Analysis

4.1 Valuation Multiples (FY25A / FY26A / FY27E)

Metric	FY25A	FY26A	FY27E	Ind. Avg.
P/E Ratio (x)	~11-12x	**~5-8x***	**~4-6x***	22.3x
P/B Ratio (x)	~3.5x	**~4.1x**	~3.2x	~3.8x
EV/EBITDA (x)	~7.0x	**~6.0x**	~5.0x	~9.5x
PEG Ratio	~0.5x	**<0.5x**	<0.5x	~1.0-1.2x
Dividend Yield	~3.5%	**~4-5%**	~4-5%	~1.5%

**Post-demerger VEDL PE reflects reduced earnings in the parent entity as demerged businesses now separately listed. Consolidated group PE remains depressed vs peers.*

4.2 Fair Value Scenario Analysis

Scenario	Assumptions	EBITDA Mult.	Fair Value (₹)	Upside from ₹305
Bear Case	Commodity down-cycle, VRL debt crisis, partial demerger failure	4.5x EV/EBITDA	**₹250-270**	**-10% to -16%**
Base Case	Stable commodities, demerger completes June 2026, steady EBITDA growth	6.0x EV/EBITDA	**₹380-420**	**+25% to +38%**
Bull Case	Commodity upcycle, EBITDA > $8B, VRL debt resolved, full demerger value unlock	7.5x EV/EBITDA	**₹520-600**	**+70% to +97%**
DCF Value	WACC 11.5%, Terminal Growth 3.5%, FY27-31 FCF CAGR ~12%	—	**₹430-480**	**+41% to +57%**

4.3 Valuation Verdict

At CMP of ₹305 (post-demerger), Vedanta is trading at a significant discount to: (a) its own historical valuation, (b) global and domestic peers, and (c) its intrinsic value per DCF analysis. The stock is SIGNIFICANTLY UNDERVALUED on multiple metrics. Simply Wall St estimates fair value at ₹773.78 on a pre-demerger basis. Even with heavy discounting for the restructured VEDL entity post-demerger, the stock offers 40-97% upside in the base-to-bull case. The deeply oversold RSI of 21.56 and near-10-year valuation lows make this a high-conviction accumulation opportunity for long-term investors.

5. Peer Comparison

5.1 Comparative Analysis — Metals & Mining Peers

Company	CMP (₹)	Mkt Cap (Cr)	FY26 Rev (Cr)	EBITDA Mgn	P/E (x)	EV/EBITDA	ROE (%)	D/E (x)
Vedanta (VEDL)	**₹305**	~1,20,000	1,74,075	**32.2%**	**~5-8x**	**~6.0x**	**~42%**	~2.1x
Hindalco (HINDALCO)	~₹680	~1,53,000	~2,40,000	~14%	~18x	~8.5x	~14%	~0.9x
HZL (HINDZINC)	~₹470	~1,99,000	~32,000	~48%	~22x	~14x	~52%	**~0.0x**
NMDC	~₹215	~63,000	~22,000	~43%	~9x	~6x	~25%	**~0.0x**
Coal India (CIL)	~₹380	~2,35,000	~1,45,000	~25%	~9x	~5x	~35%	**~0.0x**
NALCO	~₹220	~40,000	~16,000	~22%	~15x	~8x	~18%	**~0.0x**

Note: Peer data approximate as of May 2026. Post-demerger comparison requires adjustment for the new VEDL entity scope.

5.2 Key Peer Insights

- Vedanta's EBITDA margin of 32.2% is best-in-class among diversified mining peers, second only to Hindustan Zinc's 48% (which benefits from being a pure-play high-margin zinc business).
- On EV/EBITDA of ~6x, Vedanta trades at a ~30-40% discount to Hindalco (8.5x) and Hindustan Zinc (14x) — a clear valuation anomaly.
- Vedanta's ROE of ~42% is significantly higher than Hindalco (14%) and NALCO (18%), reflecting superior operational leverage.
- The key overhang vs peers is the high D/E of ~2.1x vs debt-free competitors like Hindustan Zinc, NMDC, and NALCO. Debt reduction will be the key re-rating catalyst.
- Post-demerger, each entity will be valued on a pure-play basis — likely commanding higher multiples than the current conglomerate discount.

6. Shareholding Pattern Analysis

6.1 Current Shareholding Structure (March 2026)

Investor Category	Mar 2025 (%)	Dec 2025 (%)	Mar 2026 (%)	Trend / Commentary
Promoters (VRL)	56.4%	56.4%	**56.4%**	Stable — No pledging reduction disclosed recently
Foreign Instit. (FII)	~14.5%	~13.5%	**13.9%**	Slight dip — demerger uncertainty causing caution
Domestic Instit. (DII)	~12.0%	~12.8%	**13.5%**	Gradual accumulation — LIC, mutual funds building
Retail / Public	~17.1%	~17.3%	**16.2%**	Slight retail exit — demerger complexity overhang

6.2 Smart Money Analysis

- Promoter holding has remained rock-solid at 56.4% — Anil Agarwal has not diluted and continues to view Vedanta as a long-term wealth creation vehicle. The recent demerger is a structural move to unlock value, not exit.
- DII trend is POSITIVE — Domestic institutions (mutual funds, insurance companies) have been steadily increasing exposure, suggesting conviction in long-term India commodity demand story.
- FII position is moderate (~14%) and has seen slight trimming. However, FIIs are expected to re-enter post-demerger as individual entities get cleaner balance sheets and focused business models.
- Retail investors reducing marginally — likely spooked by demerger complexity and price corrections. This creates opportunity for informed investors.
- Pledged shares: Promoters (Vedanta Resources) historically had high pledge levels. Any reduction in VRL parent pledging is a strong positive trigger for re-rating.
- Mutual Fund Accumulation: HDFC MF, SBI MF, and Mirae Asset are among key MF holders — their sustained holding reflects institutional confidence in the fundamental story.

7. Technical Analysis

Note: All technical levels reference the post-demerger Vedanta Limited (VEDL) price. The stock has been trading separately post May 1, 2026, and is in early price discovery. Technical indicators reflect short-term weakness but deeply oversold conditions.

7.1 Technical Snapshot

Indicator	Current Reading	Signal / Interpretation
Trend (Overall)	**BEARISH (Short-Term) / Accumulation Phase**	Post-demerger re-pricing; accumulation zone forming
CMP	**₹305 (May 7, 2026)**	Post-demerger price discovery underway
52-Week High	₹795 (pre-demerger peak)	Pre-demerger high; adjust for demerger impact
52-Week Low	**₹269**	Near 52W low — strong support; value zone
Support Level 1	**₹268-280**	Critical support — prior lows and value zone
Support Level 2	**₹240-250**	Strong long-term base; key demand zone
Resistance Level 1	**₹340-360**	First major resistance band; prior consolidation
Resistance Level 2	**₹420-440**	Medium-term target; previous support-turned-resistance
50 DMA	~₹622 (pre-demerger adjusted)	Stock trading far below; bearish structure short-term
200 DMA	**~₹582 (pre-demerger adjusted)**	Long-term recovery target once structure improves
RSI (14-day)	**21.56 — DEEPLY OVERSOLD**	Below 30 = oversold; bounce likely; accumulate here
MACD	**-57.53 (Signal line cross pending)**	Bearish; watch for bullish crossover as accumulation trigger
Volume	Elevated on down days; stabilizing	Distribution phase; look for volume decline on dips

7.2 Trading Views

SWING TRADING VIEW (1–4 Weeks):

- Entry Zone: ₹280-305 (current levels / on dips toward support)
- Target 1: ₹340-350 (+12-15% from entry)
- Target 2: ₹380-400 (+25-30% from entry)
- Stop Loss: ₹258 (below 52W low)
- Trigger: RSI reversal above 30 + MACD bullish crossover + volume drying on downside

POSITIONAL TRADING VIEW (1–3 Months):

- Entry Zone: ₹280-320 — accumulate in tranches
- Target: ₹420-450 (+38-48% from entry) as demerger clarity emerges

- Stop Loss: ₹250 (below major demand zone)
- Catalyst: Demerger completion by June 30, 2026; commodity price recovery; FII inflows

LONG-TERM ACCUMULATION ZONE (12-36 Months):

- Ideal Accumulation: ₹270-350 — buy aggressively in this zone with 2-3 year horizon
- Target: ₹500-650 (base-to-bull case over 2-3 years)
- Strategy: Buy in 3 tranches — 1/3 now, 1/3 on bounce confirmation, 1/3 on demerger clarity
- The RSI at 21.56 is historically one of the best entry signals for contrarian investors in cyclical commodity stocks

8. Risk Analysis

8.1 Risk Matrix

Category	Risk Factor	Impact	Probability
Parent Debt	Vedanta Resources (VRL) has significant offshore debt (~$5-6B). Dividend up-streaming from VEDL to VRL continues to service this — limiting free cash for reinvestment.	**HIGH — Can cap dividends and constrain growth capex**	**MEDIUM-HIGH (30-40%)**
Commodity Prices	Aluminium, zinc, oil, and iron ore are all global commodity prices. A China slowdown, global recession, or supply glut can compress Vedanta's EBITDA by 20-35%.	**HIGH — Core earnings driver**	**MEDIUM (25-35%)**
Demerger Risk	The demerger has already been delayed 3 times (now effective May 1 2026 with NCLT/regulatory clearances still pending for some entities by June 30, 2026). Further delays or partial failure would disappoint.	**MEDIUM — Valuation catalyst at risk**	**MEDIUM (20-30%)**
Governance	Government ministry objections over financial disclosures, undisclosed liabilities. Related-party transactions between VEDL and VRL under scrutiny. NCLAT case dismissal (Jaiprakash). Plant blast safety incident in April 2026.	**MEDIUM-HIGH — Regulatory/reputational risk**	**MEDIUM (20-25%)**
Regulatory	Mining policy changes, environmental clearance delays for Sijimali Bauxite mine, oil block renewal terms in Rajasthan. Government can alter royalty structures impacting profitability.	**MEDIUM — Operational continuity risk**	**MEDIUM (20-25%)**
Leverage	D/E of ~2.1x — among the highest in the sector. Rising interest rates or EBITDA compression could squeeze interest coverage and force asset sales.	**HIGH in downturn**	**LOW-MEDIUM (15-20%)**
Macro Risk	INR/USD fluctuations impact costs (imported coal, oil equipment priced in USD). Global trade disruptions affecting commodity demand.	**MEDIUM**	**MEDIUM (20-30%)**

POTENTIAL NEGATIVE TRIGGERS: (1) VRL parent defaults or forced VEDL asset monetization; (2) Global aluminium/zinc price crash of >20%; (3) Demerger fails NCLT scrutiny; (4) Major governance investigation by SEBI; (5) Rajasthan oil block renewal on unfavorable terms; (6) China demand collapse impacting all metal prices simultaneously.

9. Future Growth Triggers

- DEMERGER VALUE UNLOCK (May 2026): The demerger creates 6 focused listed entities — Aluminium, Zinc (HZL), Oil & Gas, Power, Steel, and Base Metals India. Each entity will trade at pure-play valuations, potentially eliminating the 25-35% conglomerate discount. Market consensus values the sum-of-parts (SOTP) at ₹500-800+ pre-demerger.
- ALUMINIUM MEGA EXPANSION: Doubling production capacity to 6 MTPA from current 2.4 MTPA over FY27-29. Lanjigarh alumina refinery expanding from 3.5 MTPA to 5 MTPA by FY26E. Sijimali Bauxite Mine (captive) expected to significantly reduce alumina procurement costs. At full capacity, Aluminium EBITDA could more than double from ~$2.5B to $5B+.
- OIL & GAS SCALE-UP: Current production ~160 kbpd targeted at 300-500 kbpd with $5B investment over the medium term. Rajasthan block has significant remaining reserves. Enhanced Oil Recovery (EOR) programs and new well drilling ongoing. At 500 kbpd, Oil & Gas EBITDA could approach $2-3B annually vs $1B today.
- ZINC VOLUME GROWTH: Hindustan Zinc targeting mined metal output of ~1.2 MTPA (from ~1.0 MTPA) by FY26-27 via mine deepening. Gamsberg Phase 2 (South Africa) adds 200 KTPA by FY27. Silver production — a high-margin by-product — growing in tandem. HZL's debt-free balance sheet enables consistent dividend payouts.
- POWER EXPANSION: Capacity pipeline of 12 GW being developed (from current 4.2 GW). Diversifying into hydropower and nuclear energy. India's power deficit and industrial demand growth make this a decade-long growth avenue.
- INDIA COMMODITY SUPERCYCLE: India's infrastructure build-out ($100B+ CAPEX annually), EV transition (copper, aluminium demand), and Make-in-India manufacturing expansion create multi-decade commodity demand tailwinds. Vedanta is uniquely positioned as the domestic supplier.
- DEBT REDUCTION TRAJECTORY: Net Debt/EBITDA improved to 0.95x (Q4 FY26) from 1.22x (Q4 FY25). Continued EBITDA growth + FCF generation should drive further deleveraging. A debt-to-EBITDA ratio of <0.5x (achievable in 2-3 years) would be a massive re-rating catalyst.
- VRL DEBT RESOLUTION: Any resolution of Vedanta Resources' parent-level offshore debt (via refinancing, asset monetization, or demerger proceeds) removes the single biggest market overhang. S&P Global has revised VRL's outlook — any upgrade cascade to VEDL would trigger FII buying.
- GOVERNMENT POLICY TAILWINDS: PLI scheme for aluminium products, mining sector reforms, and India's focus on mineral security (critical minerals) benefit Vedanta's zinc and copper businesses. Royalty rationalization can add 2-3% to EBITDA margins.

10. Investment Thesis

10.1 Long-Term View (3–5 Years)

Parameter	Assessment
Overall Stance	**BULLISH — Strong structural compounder with multiple catalysts**
Expected CAGR	**20-25% CAGR on stock price + 4-5% dividend yield = 24-30% total return over 3-5 years**
Key Drivers	Demerger value unlock, $20B capex EBITDA doubling, VRL debt resolution, India commodity demand, margin expansion
Accumulation Zone	**₹270-350 (current CMP ₹305 is in ideal zone) — buy in tranches**
3-Year Target	**₹500-650 (base-to-bull case) — translating to 65-115% absolute gain + dividends**
5-Year Target	**₹700-900 (bull case with full EBITDA roadmap execution) — a potential multi-bagger**
Multibagger Prob.	**MEDIUM-HIGH (~50-60%) over 4-5 years — contingent on commodity cycle and VRL debt resolution**

10.2 Short-Term View (1–6 Months)

Parameter	Assessment
Momentum Outlook	**CAUTIOUSLY BULLISH — RSI at 21.56 (deeply oversold) signals strong bounce potential**
Key Levels to Watch	Support: ₹268-280 | Resistance: ₹340-360 | Breakout: ₹380 for positional momentum
Trading Setup	**Buy at ₹280-305 | SL: ₹258 | Target 1: ₹340 | Target 2: ₹400 | Risk-Reward: 1:2.5**
Near-term Catalysts	(1) Demerger completion by June 30, 2026; (2) Q1 FY27 results (July 2026); (3) Metal price recovery; (4) FII re-entry post clarity
Risk	Break below ₹268 on high volume = bearish — exit and re-enter below ₹250

11. Advanced Institutional Analysis

11.1 DCF Valuation (5-Year Model)

WACC: 11.5% | Terminal Growth Rate: 3.5% | Base: Consolidated Vedanta Group FCF trajectory

Year	EBITDA ($B)	EBIT ($B)	NOPAT ($B)	Capex ($B)	FCF ($B)	PV of FCF ($B)
FY27E	$7.2	$5.2	$3.5	$2.0	$2.8	$2.51
FY28E	$8.0	$5.8	$3.9	$2.2	$3.2	$2.57
FY29E	$8.8	$6.5	$4.3	$2.0	$3.8	$2.74
FY30E	$9.5	$7.0	$4.7	$1.8	$4.3	$2.78
FY31E	$10.0	$7.5	$5.0	$1.5	$4.8	$2.79
Terminal Value	—	—	—	—	—	**$24.5B PV**
TOTAL EV						**~$37.9B**

DCF Summary	Value
Enterprise Value (EV)	**~$37.9 Billion (₹3,17,000 Cr approx.)**
Less: Net Debt	₹53,400 Cr ($6.4B)
Less: Minority Interest	~₹65,000 Cr (~$7.8B, primarily Hindustan Zinc 35% minority)
Equity Value	**~₹1,99,000 Cr (~$23.7B)**
Per Share (on ~393 Cr shares)	**~₹430-480 — indicating ~41-57% upside from ₹305**

11.2 Sensitivity Analysis — Fair Value vs WACC & Terminal Growth

WACC \ TGR	2.5%	3.0%	3.5%	4.0%	4.5%
10.0%	**₹510**	**₹540**	**₹580**	**₹620**	**₹670**
10.5%	**₹475**	**₹500**	**₹535**	**₹575**	**₹620**
11.5% (Base)	**₹400**	**₹430**	**₹460**	**₹495**	**₹535**
12.5%	**₹340**	**₹360**	**₹385**	**₹415**	**₹450**
13.5%	**₹290**	**₹310**	**₹330**	**₹355**	**₹385**

Even in the high-WACC, low-growth scenario (13.5% WACC, 3.0% TGR) fair value is ~₹310 — APPROXIMATELY AT CURRENT MARKET PRICE. This means the downside is well-protected.

11.3 Institutional Activity & Smart Money Flow

- Mutual Fund Accumulation: SBI MF, HDFC MF, Mirae Asset continue to hold large positions — long-term conviction buy.
- FII Activity: FIIs trimmed marginally in pre-demerger period; expected to re-enter post-demerger as new entities provide cleaner investment theses.
- Insider Activity: No significant insider selling; promoters maintaining 56.4% holding — alignment of interests with minority shareholders.
- Relative Strength vs Nifty: VEDL has significantly underperformed Nifty 50 over 12 months due to demerger overhang — creating mean-reversion opportunity.

- Options Chain (F&O): Open interest build-up at ₹300 CE and ₹280 PE suggests market is pricing in range-bound behavior with a positive bias. High put-call ratio indicates over-hedged positioning — contrarian bullish signal.
- Price-Volume: Recent price declines accompanied by declining volume — distribution phase waning; accumulation signs emerging.

12. Final Verdict

INVESTMENT RATING

★ BUY ★

CMP: ₹305 | Target: ₹450 (18M) | Upside: ~48% | Risk: MEDIUM-HIGH

Expected CAGR: 20-25% (3-5 Years) | Dividend Yield: ~4-5% | Total Return: 24-30% CAGR

12.1 Investment Strategy Suitability

Strategy	Verdict	Rationale
Value Investing	**STRONGLY SUITABLE**	EV/EBITDA at 6x vs peer avg 9.5x; DCF shows 41-57% upside at base case
Growth Investing	**SUITABLE**	$20B capex, EBITDA targeting $10B, 18% CAGR growth roadmap through FY29
Income / Dividend	**SUITABLE**	4-5% dividend yield; Anil Agarwal's commitment to aggressive dividends; historical payouts consistent
Swing Trading	**STRONGLY SUITABLE**	RSI at 21.56 — best swing entry signal; buy ₹280-305, target ₹340-380, SL ₹258
Momentum Trading	**WAIT FOR SIGNAL**	Momentum currently bearish; wait for MACD bullish crossover and price above ₹340
Long-Term Compounding	**STRONGLY SUITABLE**	Best risk-reward in 3-5 year horizon; demerger unlocks value; commodity supercycle beneficiary

Parameter	Details
Ideal Investor Type	Contrarian, Value, and Long-Term Investors with 3-5 year horizon; experienced swing traders
Risk Level	**MEDIUM-HIGH — Commodity cyclicality + leverage + parent debt; suitable for 5-15% portfolio allocation**
Time Horizon	Short-Term Swing: 4-8 weeks | Positional: 3-6 months | Wealth Creation: 3-5 years
Position Sizing	Conservative: 5% | Moderate: 10% | Aggressive: 15% of equity portfolio

13. Summary & Investment Conclusion

13.1 Key Positives

- Record FY26 performance: Revenue ₹1.74L Cr (+15% YoY), EBITDA ₹55,976 Cr (+29% YoY), PAT ₹25,096 Cr (+22% YoY)
- Demerger (May 1, 2026) creates 6 focused listed entities — eliminates conglomerate discount and unlocks pure-play valuations
- RSI at 21.56 — historically one of the most reliable contrarian entry signals in cyclical stocks
- Net Debt/EBITDA improved to 0.95x (FY26) from 1.22x (FY25) — clear deleveraging trajectory
- $20B capex over 4-5 years targeting $10B EBITDA — structural growth, not cyclical bounce
- Aluminium: India's largest producer with 46% market share; expanding to 6 MTPA (from 2.4 MTPA)
- Deeply discounted: EV/EBITDA of ~6x vs peer average 9.5x — 37% valuation gap to close
- Strong dividend track record; 4-5% yield provides downside cushion
- DII (mutual funds, LIC) consistently accumulating — smart domestic money is bullish

13.2 Key Negatives

- High leverage: D/E ~2.1x — most leveraged among major mining peers; vulnerable in downturns
- Vedanta Resources (VRL) parent debt overhang: Continuous dividend up-streaming limits growth reinvestment
- Commodity price risk: EBITDA highly sensitive to aluminium, zinc, crude oil prices — a 20% fall compresses earnings significantly
- Demerger execution risk: Third delay already seen (June 30, 2026 new deadline); regulatory clearances pending for some entities
- Governance concerns: Ministry objections, undisclosed liabilities, plant safety incidents (April 2026 blast)
- Post-demerger price discovery: VEDL in early stage — further near-term volatility likely before stability

13.3 Key Monitorable Factors

- Global LME prices for aluminium, zinc, copper — quarterly watch
- VRL parent debt levels and refinancing milestones — any credit upgrade = strong positive trigger
- Demerger completion by June 30, 2026 — regulatory approvals from SEBI, Stock Exchanges, Income Tax Dept
- Lanjigarh refinery expansion progress (3.5 MTPA → 5 MTPA) and Sijimali mine clearances
- Hindustan Zinc production volumes and zinc prices — largest EBITDA contributor
- Q1 FY27 results (July 2026) — first full post-demerger quarterly report; critical for guidance
- FII shareholding trend — sustained buying above 15% would confirm re-rating
- Dividend declarations — any cut in dividend rate = negative signal

13.4 Final Investment Conclusion

Vedanta Limited at ₹305 represents one of the most compelling risk-reward opportunities in the Indian market in 2026. The company sits at the intersection of multiple positive catalysts: a historically undervalued entry point (EV/EBITDA 6x vs 9.5x peer average), a structural demerger unlocking significant value, an aggressive $20 billion capex program targeting EBITDA doubling, and India's secular commodity demand supercycle driven by infrastructure, manufacturing, and EV transition.

The primary risks — VRL parent debt, commodity cyclicality, and governance — are real but well-known and likely already priced in at the current depressed levels. The RSI at 21.56, the narrowing of net debt/EBITDA below 1.0x, and consistent DII accumulation all signal that the worst is likely behind the stock.

For long-term investors (3-5 years), Vedanta at ₹270-350 is a high-conviction BUY with 65-115% absolute upside potential plus 4-5% annual dividend yield. For swing traders, the current oversold RSI provides a compelling short-term bounce play with a target of ₹340-380 and a well-defined stop-loss at ₹258.

13.5 Probability of Success Assessment

Outcome	Target Range (₹)	Probability	Key Assumption
Bear Case (significant loss)	**₹200-260**	**15%**	VRL default + commodity crash + demerger failure
Mild Negative (moderate loss)	₹260-300	15%	Commodity weakness + demerger delays continue
Flat / Base (sideways)	₹300-380	25%	Steady state, no major positive/negative trigger
Positive (moderate gain)	₹380-500	30%	Demerger completes + steady commodity prices
Bull Case (strong gain)	**₹500-700+**	**15%**	Commodity upcycle + VRL debt resolved + full EBITDA delivery
PROBABILITY OF POSITIVE OUTCOME	**₹380+**	**45%**	**Within 18 months from current levels**

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